NIMBUS PAYMENTS - Q2 FY2026 BUSINESS REVIEW

(Fictional sample document for testing PreCue. All companies and numbers are made up.)

1. Summary

Nimbus Payments had a strong second quarter. Revenue grew to ₹10 crore, up 18% from ₹8.5 crore in Q1. We added 2.3 lakh new users, taking our total active users to 14.6 lakh. The transaction success rate improved by 12% compared to the previous quarter, and operational efficiency improved by 15% after we automated settlement reconciliation.

2. Revenue

Total revenue for Q2 was ₹10 crore. Merchant fees contributed ₹6.2 crore, which is 62% of revenue. Subscription plans contributed ₹2.5 crore and the remaining ₹1.3 crore came from value-added services such as instant settlements and analytics dashboards.

Gross margin improved from 41% in Q1 to 46% in Q2, mainly because bank processing costs fell by ₹40 lakh after we renegotiated our contract with our primary banking partner.

Revenue from Tier-2 and Tier-3 cities grew faster than metros. Tier-2 and Tier-3 cities now account for 38% of revenue, up from 31% last quarter.

Revenue source	Q2 amount	Share
Merchant fees	₹6.2 crore	62%
Subscription plans	₹2.5 crore	25%
Value-added services	₹1.3 crore	13%

3. Customers

We onboarded 2.3 lakh new users in Q2, compared to 1.7 lakh in Q1. Total active users reached 14.6 lakh. Monthly churn reduced from 4.1% to 3.2%.

Merchant count grew to 52,000, an increase of 9,500 merchants in the quarter. Small retail stores make up 71% of our merchants. Our largest merchant segment by transaction value is food and grocery, at 34% of total value.

Customer satisfaction (CSAT) rose to 4.5 out of 5, from 4.2 last quarter. Average support resolution time dropped from 18 hours to 7 hours after we launched the in-app help assistant.

4. Operations and Technology

The transaction success rate reached 97.4%, compared to 87.0% in Q1, an improvement of 12%. The main driver was smart routing, which sends each payment through the bank with the best live success rate.

We processed 4.8 crore transactions worth ₹3,200 crore in total payment value. Peak load was 1,850 transactions per second during the festive sale in September.

Operational efficiency improved by 15%. Settlement reconciliation, which earlier needed a team of 12 people, is now automated and needs only 3 people to handle exceptions. System uptime was 99.95%.

5. Product Launches

We launched three products this quarter:

- UPI AutoPay for subscriptions, now used by 4,200 merchants.
- Instant Settlement, which pays merchants within 30 minutes. It already contributes ₹45 lakh in monthly fees.
- The Nimbus Analytics dashboard, used by 11,000 merchants every week.

6. Team and Costs

Headcount grew from 140 to 165 employees. Most hires were in engineering (15) and merchant support (7). Total operating expenses were ₹7.1 crore, up from ₹6.6 crore in Q1. Marketing spend was ₹1.2 crore, and the customer acquisition cost fell from ₹210 to ₹165 per user.

7. Risks

New RBI guidelines on payment aggregators require additional compliance reporting from Q4. We estimate a one-time cost of ₹35 lakh to update our systems.

Competition in UPI payments is increasing, and two large competitors have cut merchant fees. We expect pricing pressure of around 5% on merchant fees over the next two quarters.

8. Plan for Q3

Our Q3 targets are revenue of ₹12 crore, 2.8 lakh new users and a transaction success rate above 98%. We plan to expand to 40 new Tier-2 cities, launch a credit line for merchants with a partner NBFC, and hire 20 more engineers. We are also preparing to raise a Series B round of around ₹150 crore by the end of FY2026.